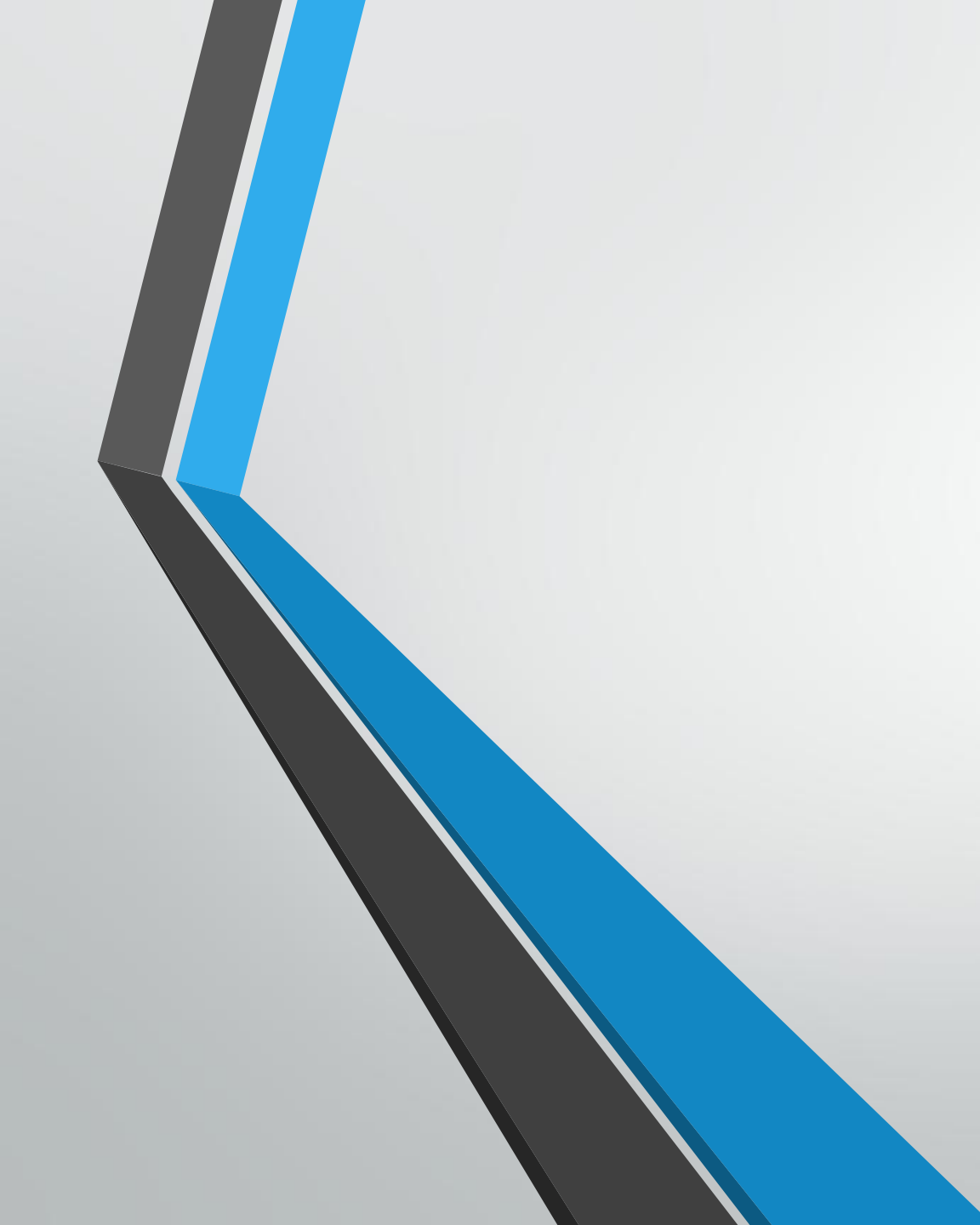




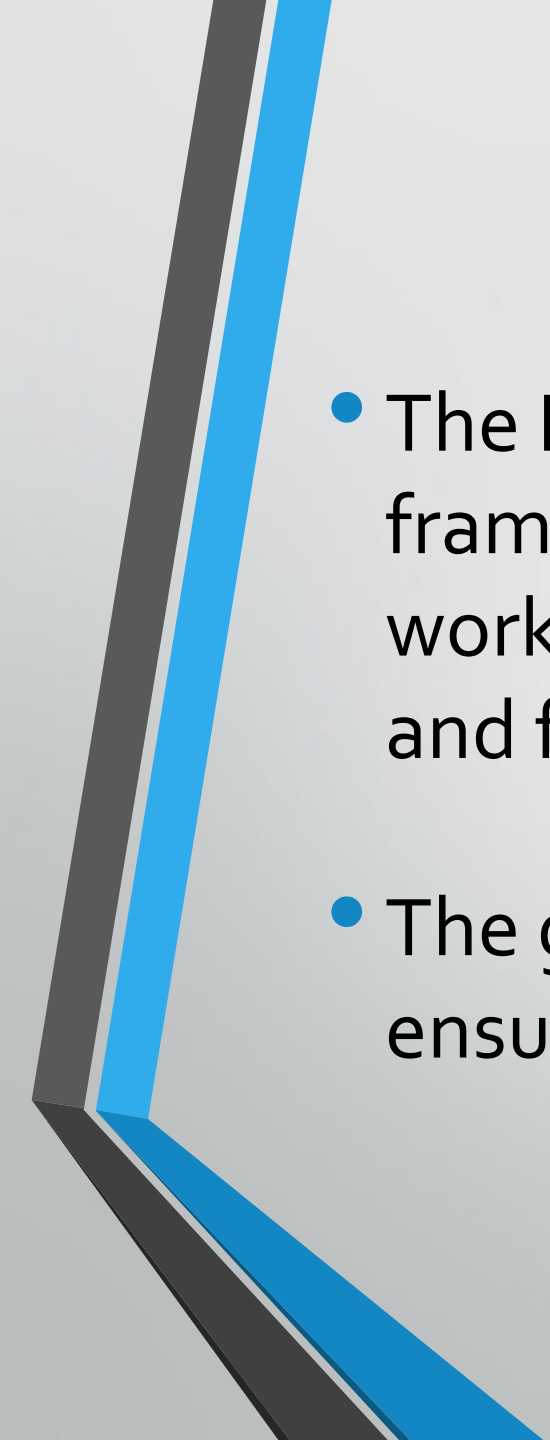
IT Procurement Management

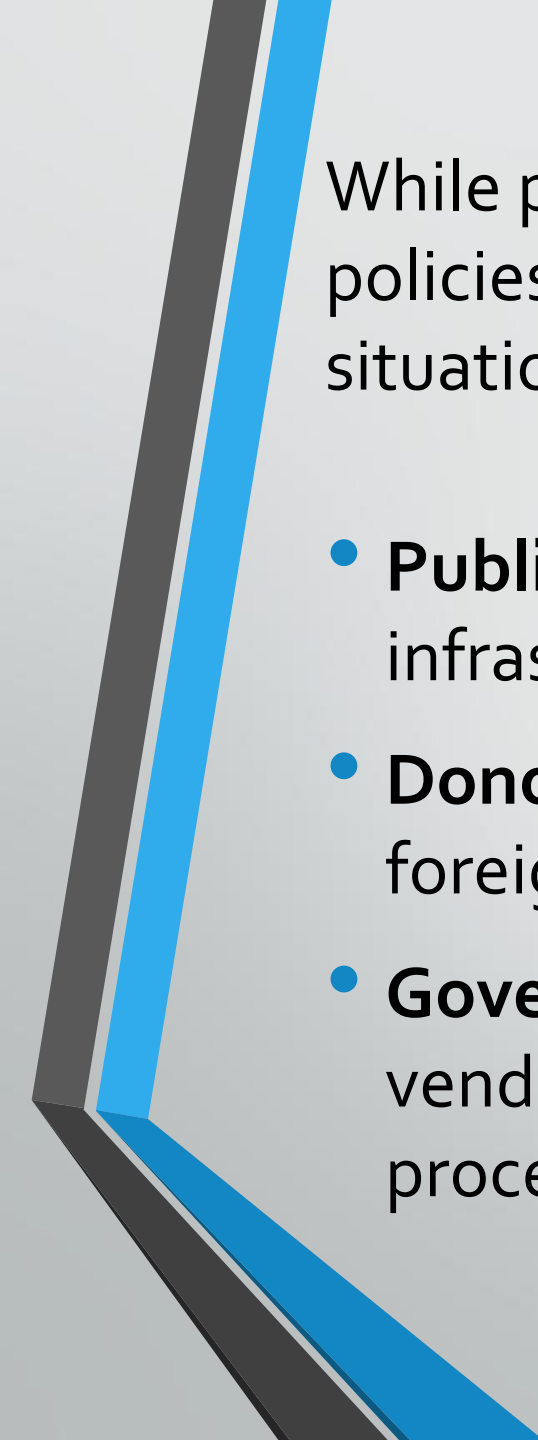
IS4105- Lecture 08

Presenter- PKDK Kaushalya

National Procurement Guideline



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- The National Procurement Guidelines of Sri Lanka provide a framework for government institutions to procure goods, works, and services efficiently, economically, transparently, and fairly.
 - The guidelines are issued by the Government of Sri Lanka to ensure proper utilization of public resources.



While private companies generally follow their own internal purchasing policies, they must adhere to these national guidelines in specific situations.

- **Public-Private Partnerships (PPPs)**- When engaging in infrastructure projects or contracts with the government.
- **Donor-Funded Projects**- When executing private contracts tied to foreign-funded or state-backed development grants and loans.
- **Government Bidding**- When a private company participates as a vendor or bidder for government tenders, they must comply with the procedural and ethical parameters laid out in the guidelines.

Objectives of National Procurement Guidelines

- To ensure value for money
- To promote transparency and accountability
- To encourage fair competition
- To prevent corruption and fraud
- To achieve efficiency and economy
- To ensure equal opportunities for suppliers
- To improve public confidence in government procurement

Fundamental Principles of Public Procurement

1. Transparency

All procurement activities should be open and clearly documented.

They promote **Open Competitive Bidding** and mandate **public advertisements**.

Ex: Tender notices should be publicly advertised.

Direct/ single source procurements allowed only for;

- **Proprietary/Monopoly Items-** When the required goods, software, or machinery are patented or manufactured exclusively by a single company, and no reasonable alternative exists.
- **National Emergencies-** During critical, unforeseen crises where waiting for a standard 30-to-45-day bidding cycle would result in severe public harm or institutional failure.
- **Severe Market Shortages-** When an essential item (such as critical pharmaceutical drugs) faces extreme shortages, and immediate procurement is required to maintain public welfare.
- **State-to-State / State Manufacturing-** When buying directly from a designated state corporation (ex: purchasing medicine directly from the State Pharmaceutical Manufacturing Corporation).
- **Small assignments not exceeding LKR 100,000**

2. Fairness and Equality

All eligible suppliers must be treated equally.

Ex: Evaluation criteria should be applied uniformly to all bidders.

3. Fair Competition

Adequate competition should be encouraged.

- **Competitive Bidding**- Methods such as National Competitive Bidding (NCB) and International Competitive Bidding (ICB) are enforced to create a competitive market environment for government contracts.
- **Anti-Collusion Pledges**- Bidders must sign a declaration confirming their bid was made without agreement, combination, or collusion with any other competitor.
- **Strict Ethics & Integrity**- Government officials and bidders are prohibited from engaging in corrupt, fraudulent, or coercive practices.

4. Economy

Resources should be utilized efficiently.

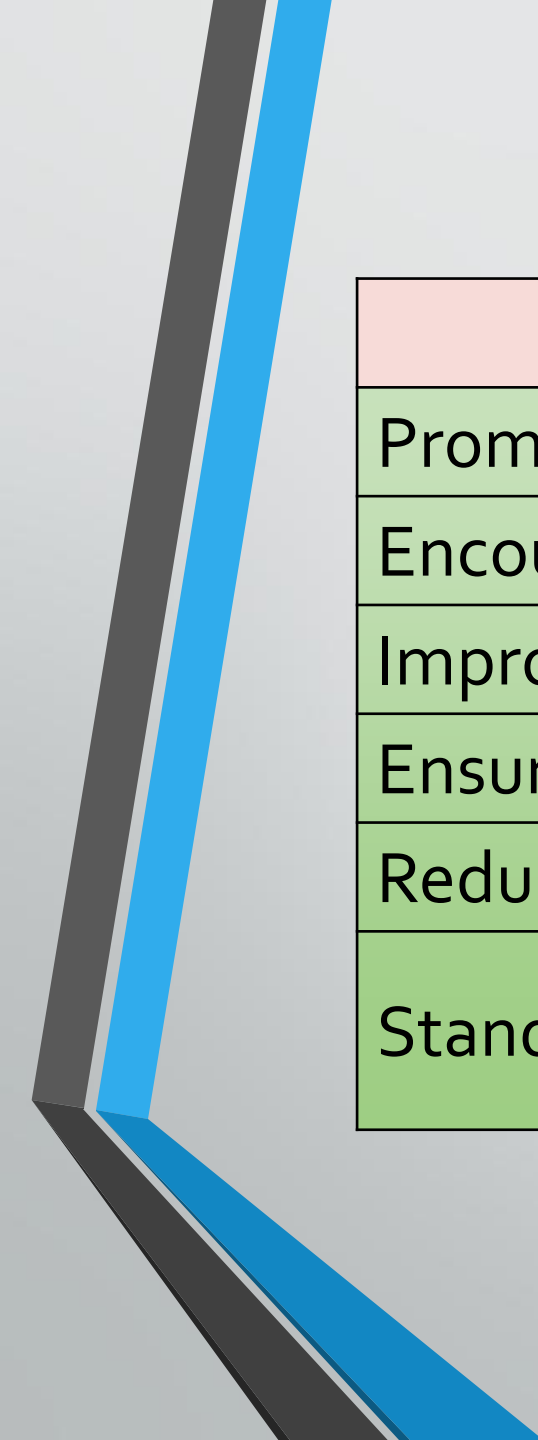
The concept of “**Value for Money**” encourages public procurement officers to maximize the economic efficiency of public funds, minimize waste, and avoid the abuse of resources to get the highest qualitative results for the nation.

Selecting the most cost-effective solution rather than the cheapest option is important.

5. Accountability

Procurement officers are responsible for their decisions and the accountability framework within the guidelines includes the following key requirements.

- **Personal Responsibility-** Secretaries of line ministries and Chief Secretaries act as Chief Accounting Officers (CAOs), meaning ultimate responsibility for the selection process is vested in them.
- **Ethical Conduct-** Officials are strictly prohibited from receiving personal gains, gifts, or other inducements, and must remain entirely objective.
- **Record Keeping & Auditing-** Decisions to deviate from standard procedures due to urgent or exceptional circumstances must be explicitly recorded in writing, and a copy must be forwarded to the Auditor General.
- **Monitoring & Investigations-** The National Procurement Commission has specialized investigation and monitoring divisions specifically tasked with ensuring compliance and good governance.



Strengths	Limitations
Promotes transparency	Can be time-consuming
Encourages competition	Bureaucratic procedures
Improves accountability	Procurement delays
Ensures value for money	Limited flexibility
Reduces corruption risks	Cannot completely eliminate bias
Standardizes procurement	Complex documentation requirements